Brazil Macro Monthly

Better forecasts despite global uncertainties and local elections

Highlights

- Slowing economic activity and lower commodity prices are expected to contribute to disinflation around the globe. Meanwhile, geopolitical turmoil remains, and Europe faces high stagflation risks.
- In Brazil, we raised our GDP growth forecasts for 2022 (from 2.2% to 2.8%) and 2023 (from 0.5% to 1.0%), in the wake of positive surprises in the recent period.
- We revised our projection for 2022 IPCA from 6.8% to 6.1%, incorporating disinflationary news in the short term. For 2023, we reduced the IPCA forecast from 5.5% to 5.3% due to lower inertia.
- We expect a surplus of 0.8% of GDP for the public sector's primary balance in 2022. In 2023, we anticipate changes in the fiscal framework to accommodate more spending, leading to a primary deficit of 0.7% of GDP in the public sector and higher debt.
- Balance of payments remains robust, driven by foreign direct investment. In turn, we continue to expect the exchange rate at BRL/USD 5.00 for YE22 amid high volatility.
- With inflation expectations stabilizing, the monetary tightening cycle is likely to stop for now. We see room for some easing next year, with the benchmark Selic rate ending 2023 at 10.00%.

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XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.8	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.5	8.2
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	6.1	5.3
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.8	-0.7
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.2	84.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	50.5	54.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	336.0	329.0
Imports (USD Bn)	185.3	185.9	158.8	219.4	285.5	275.0
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-37.5	-46.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-2.0	-2.3
FDI (USD Bn)	78.2	69.2	44.7	46.4	79.5	77.0
FDI (% GDP)	4.1	3.7	2.9	2.9	4.3	3.9
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.86	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.53	10.09

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Are recent positive indicators sustainable?

Financial markets rebounded at the beginning of the second half due to expectations of a mild monetary policy adjustment in the US. But recent statements from Fed officials, including Chair Jerome Powell, reminded market participants that there is no disinflation without pain. As we said last month, the intensity of monetary adjustment required to rebalance the economy remains uncertain, which should keep market volatility high.

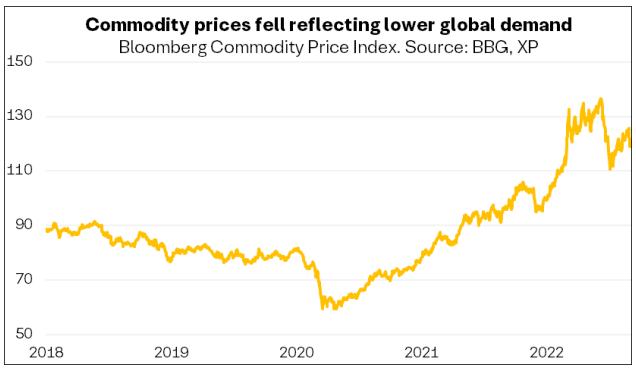
In Brazil, the electoral debate gained steam. However, presidential candidates have not disclosed details of their economic policy proposals. There is still a significant fiscal challenge ahead and structural reforms remain key.

Despite those uncertainties, news on the economic outlook have been positive. The economy continues to recover, which led us to lift (once again) our GDP growth forecast for this year from 2.2% to 2.8%. For 2023, we also raised our GDP forecast from 0.5% to 1.0%. Additionally, inflation has been falling beyond the effect of tax cuts on fuels, benefiting from lower commodity prices. Foreign direct investment remains solid, and short-term fiscal results have consolidated in positive territory.

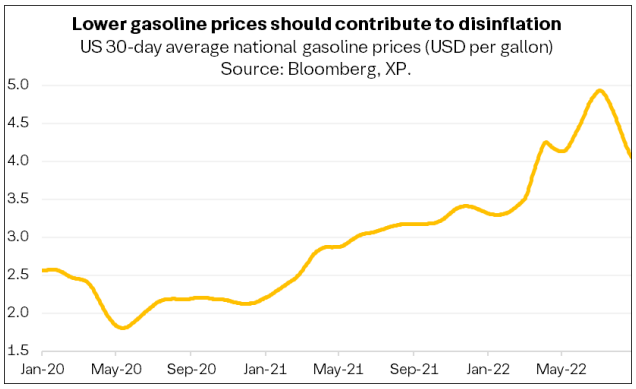
It's still too early to celebrate, though. The positive trend is still contingent on the next government's fiscal policy, prospects for reforms, and post-pandemic global rebalancing. In any event, strengthening economic indicators suggest that the Brazilian economy can enter a positive cycle ahead. Whether the country will seize this opportunity remains to be seen.

Global Backdrop: Slowing economic activity amid tighter financial conditions and geopolitical risks

Lower commodity prices should contribute to global disinflation. Oil prices fell more than 30% between early June and late August, and retail gasoline prices dropped by 12% in August in the US. We expect Brent oil prices to end 2022 at between USD 90 and USD 100 per barrel. Metal prices should fall further as the slowdown in global economic activity consolidates. On the other hand, agricultural commodities should remain elevated due to inelastic demand and weather conditions affecting the supply side. In all, despite our expectations that commodity prices will remain high throughout the year compared to historical levels, the recent drop should alleviate inflationary pressures going forward.



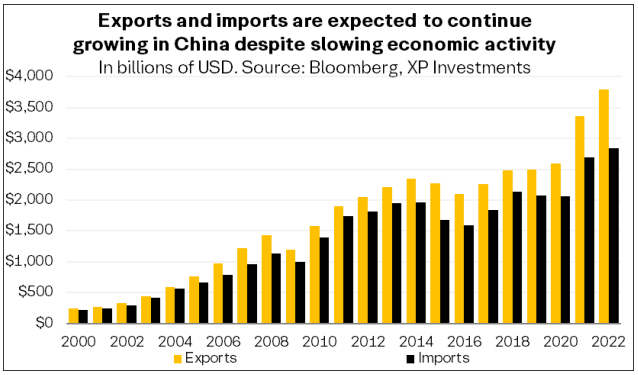
The Fed's priority will be to bring inflation back to target. Chairman Powell's speech at the Jackson Hole event highlighted that monetary policy will remain data-dependent and that economic growth may need to be sacrificed to guarantee convergence of inflation to target. The tight labor market and lingering high inflation will force the FOMC to take interest rates into restrictive territory in the coming September meeting.



Nevertheless, we do not expect the Fed to increase interest rates as much as what is currently priced in the market, on the back of disinflation and easing economic activity. We believe that inflation has already reached its peak after dropping to 8.5% (YoY) in July, and trends are now expected to mean revert, ending 2022 a 6.5%. Moreover, activity indicators point to a weakening housing market and a slowdown in economic growth. Also, given the lagged effect of monetary policy, we believe that the Fed will avoid the risk of overtightening.

Increased stagflation risk in the Euro Zone. Inflation continued to surprise to the upside, reaching 9.1% in August, showing no signs of relief. Price surges have become increasingly widespread, and energy inflation is expected to remain significantly pressured in the coming months, given the recent material surge in wholesale energy prices in most countries within the region. Moreover, economic activity is expected to weaken substantially towards the second semester, with increased uncertainty regarding the impact of tightening monetary policy and the deleterious effects brought by the war in Ukraine. Activity indicators suggest that the Euro Zone economy has entered a contractionary period.

Economic growth in China remains dependent on stimulus measures. The government announced additional 1 trillion yuan (USD 146 billion) in fiscal stimulus, primarily focused on infrastructure spending. Moreover, the PBoC (Chinese central bank) has started to cut key interest rates to offset the fall in demand due to repeated Covid-19 lockdowns and weakness in the property market. We believe that economic activity will pick up towards the second half of the year, reflecting the government's ongoing efforts, and the economy will grow by 3.2% in 2022 and

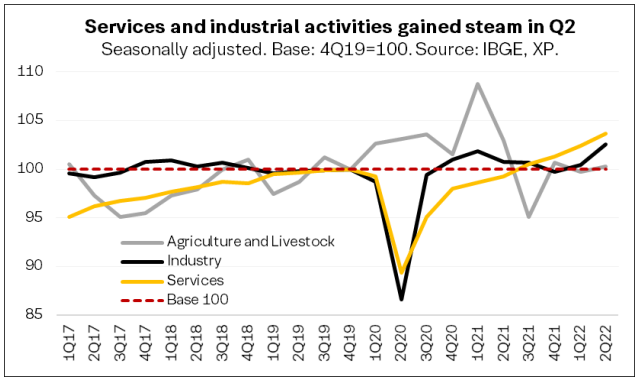


5.6% in 2023. Furthermore, the latest weakness has not largely impacted the external sector, and we expect exports to grow by 12.7% and imports by 6.0% in 2022. Nonetheless, the Chinese economy will remain highly dependent on government impulses. Without these stimulus measures, we believe that China would deliver significantly low growth in the next two years.

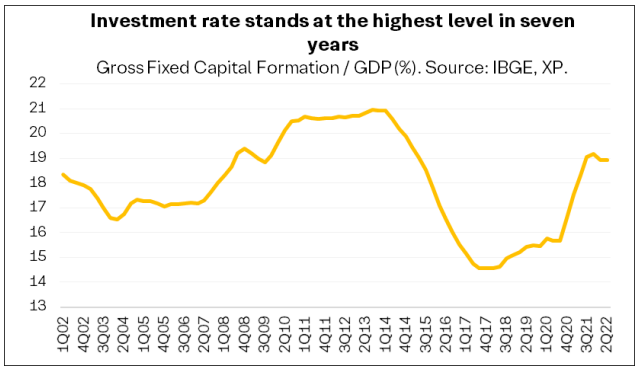
Brazil: Better forecasts despite global uncertainties and local elections

Economic Activity: we raised our GDP growth forecasts for 2022 and 2023

Brazil's GDP posted a sharper-than-expected and widespread increase in Q2. The domestic economy expanded by 1.2% in Q2 compared to Q1 (3.2% growth from a year earlier), an upward surprise to our estimate of a 1.0% gain (3.0% in the yearly comparison). Furthermore, the vast majority of GDP components showed positive figures in the period, signaling a consistent recovery of economic activity.

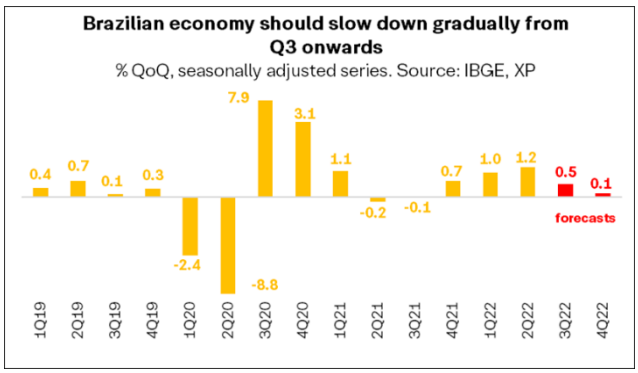


On the supply side, the services sector gained steam last quarter, still benefiting from economic reopening and the normalization of consumption patterns. As a result, the tertiary sector GDP stands nearly 4% above pre-pandemic levels. Industry GDP also rose substantially from April to June, with favorable numbers across all subsectors. The resilience of civil construction – eight straight quarters of expansion – and the steady recovery of the manufacturing industry were highlights in the first half of the year, reflecting the increase in domestic demand in tandem with easing global supply chain bottlenecks.



On the demand side, household consumption played a leading role in Q2, expanding by circa 2.5% QoQ. The movement was led by the solid improvement in the labor market (the jobless rate is currently around 9%), the use of savings accumulated during the pandemic and government stimulus measures. In addition, investments resumed growth after disappointing figures in Q1. These factors more than offset the negative contribution of the external sector in Q2.

We expect activity to slow down in the second half of 2022, but at a gradual pace. Headline GDP will likely grow more moderately from Q3 onwards, in line with tightening financial conditions, particularly higher interest rates and heightened risk perception, and the weakening global economy. Nonetheless, (I) the rebounding labor market, (II) additional short-term fiscal stimuli (e.g., higher 'Auxílio Brasil' monthly benefit and financial vouchers for truck drivers), and (III) relief in inflationary pressure should allow for a smoother cooling of the economic activity than previously thought. We believe that the real household disposable income will remain at high levels in the coming months, providing support for consumption – for details, see the report *XP Macro Special: Monitoring the pace of growth in household consumption*.



Therefore, we are revising our expectations for 2022 GDP growth from 2.2% to 2.8%.

If our estimate proves accurate, the statistical carry-over effect for next year's GDP variation (i.e., assuming zero quarterly change rates) will be positive by 0.7pp, compared to 0.2pp in the previous baseline scenario.

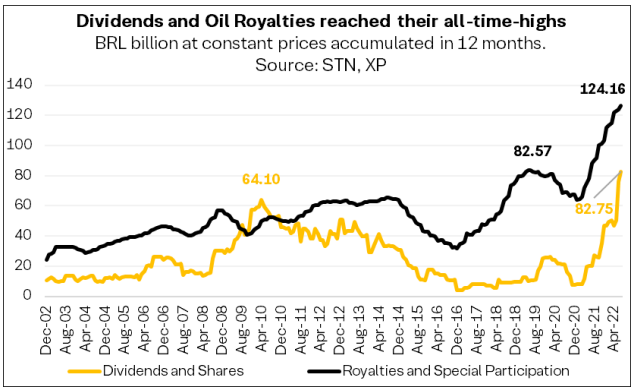
Finally, we are also revising the projection for 2023 GDP growth from 0.5% to 1.0%. As per our calculations, the real household disposable income will rise nearly 2% next year, considering the maintenance of the higher stipend from the 'Auxílio Brasil' welfare program (BRL 600/month) and a slower pace of employment expansion – we anticipate that the seasonally-adjusted Brazilian jobless rate will reach 8.5% at the end of 2022 and 8.2% at the end of 2023 (previous forecasts: 9.0% and 9.2%, respectively). In our view, the better statistical carry-over from 2022 GDP coupled with fiscal impulses should more than offset the slowdown in global economic activity and domestic monetary policy in significantly contractionary territory in 2023.

GDP Breakdown (annual change, %)	2020	2021	2022 (F)	2023 (F)
Agriculture and Livestock	3.8	-0.2	0.9	2.0
Industry	-3.4	4.5	2.0	0.7
Services	-4.3	4.7	3.6	1.1
Total GDP	-3.9	4.6	2.8	1.0
Household Consumption	-5.4	3.6	3.8	1.2
Government Consumption	-4.5	2.0	1.9	0.8
Gross Fixed Capital Formation	-0.5	17.2	-1.7	-0.6
Exports	-1.8	5.8	2.3	1.7
Imports (-)	-9.8	12.4	-2.5	1.5

Source: IBGE, XP.

Public Accounts – New framework after 2023 remains a challenge

Short-term results maintain a positive trend, keeping Central Government in positive territory. Federal tax collection remains strong, supported by revenue linked to corporate profit and payroll. Additionally, revenue from the exploration of natural resources reached historic highs this year. Hence, the Central Government's primary balance reached BRL 111.7 billion (1.2% of GDP) in the 12-month rolling sum.

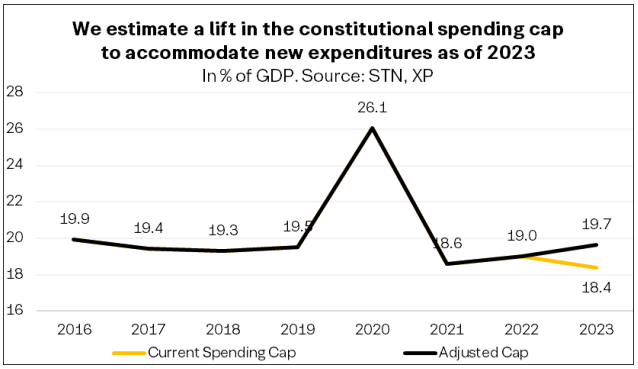


Regional government results are worsening due to tax cuts. In July, there was a significant drop in subnational governments' primary result in relation to the previous year. This likely reflects the reduction in ICMS (state tax) rates on fuels, electricity, and communications, which went into effect that month. Nonetheless, the surplus accumulated in 12 months reached BRL 230.6 billion (2.5% of GDP).

We now expect a surplus of BRL 26.6 billion for the Public Sector (Central Government + Regional Governments + State-Owned Enterprises) in 2022. This revision is mainly supported by the positive fiscal performance in recent months and the improvement in the economic activity outlook for this year (see the economic activity section of this report), which should continue boosting tax collection.

However, uncertainties for 2023 remain. As described in our previous report, primary expenditures are expected to rise in 2023, consuming most of the increase in tax revenue.

The challenge from 2023 onwards is to design a new framework that accommodates higher short-term spending but fosters long term debt sustainability. Our baseline scenario considers expenditure growing in line with inflation from 2024 onwards.

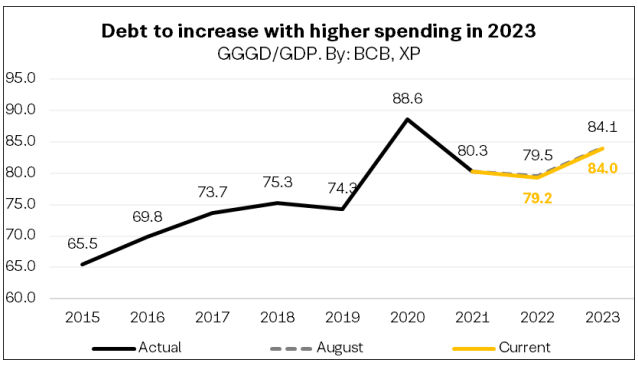


In this scenario, the Central Government resume the primary deficit in 2023, at BRL 91.0 billion (or -0.9% of GDP). The consolidated public sector, which should end this year with a surplus of BRL 77.3 billion (0.8% of GDP), could reach a deficit of BRL 70.0 billion in 2023 (-0.7% of GDP).

An additional risk is that tax exemptions can be made permanent in 2023. The PIS/Pasep and Cofins tax rates on fuels were reduced to zero by the end of this year. We don't expect this exemption to remain next year (see inflation section below). However, if oil prices remain high, it is likely that the government will extend the measure until 2023, which could lead to a revenue loss of up to BRL 54 billion.

With the hypothesis of a change in the spending cap in 2023, we estimate that the public debt will grow again. The positive primary result in 2022 should reduce the General Government Gross Debt (GGGD)-to-GDP ratio to 79.2%. But from 2023 onwards, with increased spending following a change in the spending cap rule and the higher nominal interest account, public debt is expected to resume an upwards path (see graph).

Considering that primary spending grows in line with inflation after the 2023 jump, government debt tends to stabilize from 2026 onwards, at around 90% of GDP (for more details, see the report *XP Macro Special: Long-term fiscal scenario*).



Despite the change in the rules, we believe in some fiscal anchor (adjusted cap, debt target, etc.) as of next year. Any change in the spending cap rule should focus on stabilizing and reducing government debt in the long term. Accommodating new expenditures in an adjusted cap may lead to higher debt in the short term. However, if the structural approach remains that of limiting new spending to inflation, public accounts may still be manageable, albeit at a higher indebtedness level.

Inflation – Projections retreating beyond the tax-cut effects

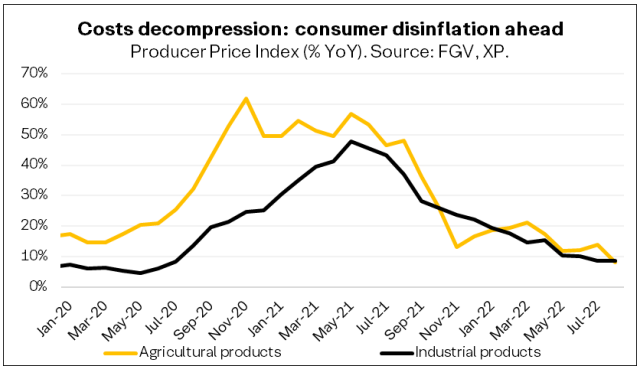
We revised our 2022 IPCA forecast from 6.8% to 6.1%. Short-term inflation continues to benefit from tax cuts and the drop in oil prices. In addition, food and industrial prices started to show significant decompression.

Last week, Petrobras announced an additional cut in gasoline prices. It was the fourth consecutive cut since mid-July, following the drop in international oil prices and the BRL appreciation. We have incorporated the most recent readjustment in our baseline scenario, resulting in a 0.20pp decline in the IPCA projection. We

assume that Brent oil prices will end this year at between USD 90 and USD 100 a barrel, at around current levels. But with pressure on derivatives of oil prices due to the arrival of the northern hemisphere winter, we maintained a 5% increase in gasoline prices in the last quarter of 2022, which carries an impact of 0.17pp on the IPCA.

And energy should also drop further next month. Last week the supreme court determined the removal of the TUST from the immediate ICMS tax base for electricity. Despite Complementary Law 194 defining the non-levy of ICMS on transmission and distribution services and charges linked to operations with electricity, states had been ignoring this determination. On September 1, the Ministry of Justice and Public Safety determined that the measure must be adopted immediately, applying a daily fine of BRL 10,000 in case of non-compliance. We estimate an impact of -0.25pp on September IPCA.

Food and industrial goods inflation show decompression signs. Wholesale prices of food and industrial goods are in negative territory, and we expect a partial pass-through to consumer prices. The deceleration, and in some cases a fall, is widespread in our high-frequency surveys. The movement was expected, but it has gained greater intensity. Thus, we have revised our monthly projections for some of these subgroups, and the total impact on the IPCA for the year was -0.15pp.



For 2023, we have revised the IPCA from 5.5% to 5.3% due to lower inflationary inertia. Lower inflation in 2022 exerts less pressure on readjustments of administered goods, such as health insurance, medicine, water and sewage, and energy, implying less inertia in market-set prices.

We decided to maintain the reinstatement of federal taxes on fuels at the beginning of next year – an important assumption. Although the subsidy is already included in the 2023 budget, the tax waiver will be too big for a government seeking to gain fiscal credibility amidst increased spending. Politically, the best moment for the reinstatement is at the beginning of the presidential mandate. According to our estimates, the potential impact of this measure is -0.44pp on the IPCA, and inflation would otherwise end next year below 5%.

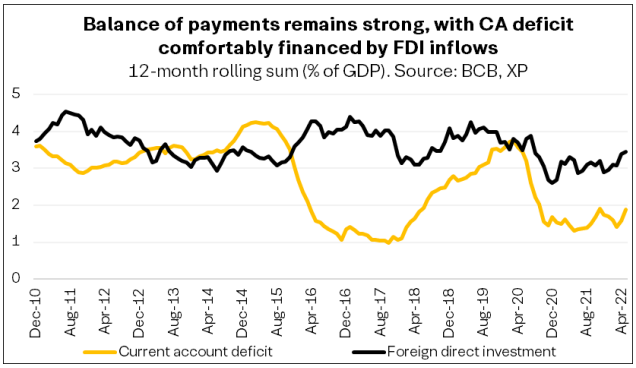
External Sector – High FX volatility and a solid balance of payments

The Brazilian exchange rate has seen significant volatility in the recent period. Since our last monthly report, the exchange rate has varied between BRL/USD 5.05 and BRL/USD 5.30, ending August slightly below BRL/USD 5.20 (close to the level observed at the end of July). On the one hand, financial markets are pricing in tighter monetary policy in developed economies, particularly in the United States and the Eurozone, in line with the still very challenging inflationary outlook. In addition, the worsening energy crisis in Europe and the weakening of the Chinese economy (weighing on commodity prices) contribute to an increase in global

risk aversion. Meanwhile, favorable economic indicators in the domestic scenario (stronger economic activity and lower inflation, among others) seem to be acting in the opposite direction, preventing a more significant depreciation of the Brazilian currency.

Thus, we maintain our forecast of BRL/USD 5.00 at the end of 2022. Our scenario incorporates some reduction in risk premiums after the general elections in Brazil, as well as clearer signs regarding the monetary policy stance in developed economies. For the end of 2023, we project BRL/USD 5.30. However, the degree of uncertainty regarding the dynamics of the exchange rate next year remains high, mainly due to local economic policy uncertainty (fiscal accounts in the spotlight).

A solid net inflow of foreign direct investment offsets the widening current account deficit. With the balance of payments results available up until May (statistics are still out of date due to the strike by Central Bank employees in the first half of the year), we have observed a gradual increase in the current account deficit and a leap in Foreign Direct Investment (FDI). About the former, the merchandise trade balance continues at high levels, with a surplus of around USD 45 billion accumulated over 12 months, while the services and primary income accounts show growing deficits in the wake of the economic reopening and consistent recovery in domestic activity. In this sense, the highlight is the widening negative balances in transport services and international travel. The current account deficit reached USD 32.9 billion in the 12 months through May (-1.9% of GDP), after closing 2021 at USD 27.9 billion (-1.7% of GDP). On the financial account, the FDI showed an increase of 52% between January and May 2022 (USD 39.7 billion) compared to the same period of 2021 (USD 26.1 billion), a performance well above projections at the beginning of the year. After totaling USD 46.4 billion in 2021 (2.9% of GDP), the FDI - a healthy source of financing for the current account deficit - reached USD 60.0 billion in the 12-month accumulated until May this year (3.5% of GDP) and should continue on a marked expansion path.



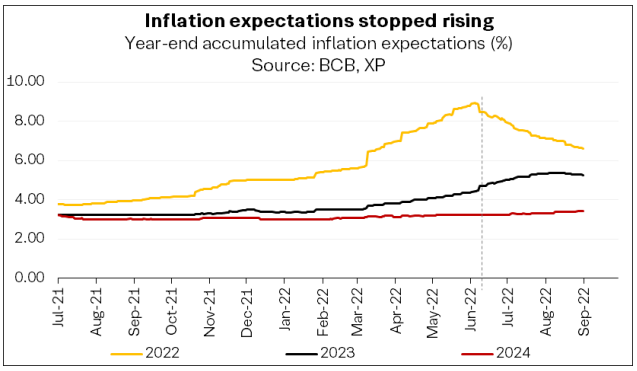
Therefore, we have adjusted our current account deficit and FDI projections. We forecast that the current account deficit will reach USD 37.5 billion at the end of 2022 (-2.0% of GDP) and USD 46.0 billion at the end of 2023 (-2.3% of GDP). Previous estimates pointed to deficits of USD 20.5 billion (-1.1% of GDP) and USD 36.0 billion (-1.8% of GDP), respectively. In turn, we project that FDI will total USD 79.5 billion this year (4.3% of GDP) and USD 77.0 billion next year (3.9% of GDP) – the previous forecasts were USD 60.0 billion in 2022 (3.2% of GDP) and USD 65.0 billion in 2023 (3.3% of GDP).

Monetary Policy – Wait and see now, cuts in 2023

Monetary tightening effects seem to have started. After hiking the benchmark Selic rate significantly from 2.00% in March 2021 to 13.75% in August 2022, inflation expectations finally changed

course (graph), also supported by tax cuts on fuels and lower commodity prices.

This backdrop reinforces our view that the central bank will stop the tightening cycle and enter a "wait-and-see" period. In our view, domestic monetary policy is already in restrictive territory, and global monetary policy is moving towards that direction. Thus, a pause for evaluation now seems indeed the correct move.



What comes next? The strength of domestic demand and the labor market may keep inflation elevated for longer, which may require further monetary tightening. It would also be the case if the next government fails to provide a credible fiscal anchor to replace the constitutional spending cap.

Our baseline scenario, however, considers a deceleration in domestic demand starting in the 2H22 (see activity section above) and no fiscal rupture next year (for more details, see the report *XP Macro Special: Long-term fiscal scenario*).

Thus, we continue to see room for monetary easing in the second half of 2023. By then, we believe global and domestic inflation will be on a clear downward path on the back of tighter global monetary policy and normalizing supply conditions. IPCA inflation will probably be running at around 5%, which could allow the Selic rate to decline by some 350-400 bps, while still keeping real rates above the level we consider neutral (4%).

Our Selic rate forecast for year-end 2023 remains at 10.00%.

XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.8	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.5	8.2
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	6.1	5.3
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.8	-0.7
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.2	84.0
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FDI (USD Bn)	78.2	69.2	44.7	46.4	79.5	77.0
FDI (% GDP)	4.1	3.7	2.9	2.9	4.3	3.9
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.86	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.53	10.09

Source: IBGE, BCB, Bloomberg, XP.

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